

Before the
FEDERAL MARITIME COMMISSION

Docket No. 24-01

Visual Comfort & Co. v. COSCO Shipping Lines Co. Ltd.

**COMPLAINANT’S RESPONSE IN OPPOSITION TO RESPONDENT’S MOTION FOR
PARTIAL JUDGMENT ON THE PLEADINGS**

Through its motion for partial judgment on the pleadings, Respondent COSCO Shipping Lines Co. Ltd. (“Respondent” or “COSCO”) seeks to shirk responsibility for wrongful detention and demurrage charges it levied over the course of years on the basis that those charges were passed through a non-vessel operating common carrier (“NVOCC”) to the ultimate payor, Complainant Visual Comfort & Co. Ltd (“VCC” or “Complainant”). But VCC suffered “actual injury” as a direct result of COSCO’s actions in charging Complainant demurrage, detention, and other related charges (the “Charges”) and accordingly, its premature motion should be denied. No discovery has been exchanged in this matter, and Complainant submits that discovery will prove the direct nature of its injury.

Complainant is the party responsible for paying the Charges and should be permitted to pursue claims against the party that ultimately calculated and levied them. To the extent that this Tribunal determines that Complainant currently lacks standing, Complainant can obtain an assignment from any intermediary parties necessary to pursue its claims.

BACKGROUND

On January 4, 2024, Complainant filed a verified complaint against COSCO seeking reparations pursuant to 46 U.S.C. § 41305. On February 5, 2024, Complainant filed its Verified

Amended Complaint, which corrected the Respondent’s corporate entity name (the “Amended Complaint” or “Am. Compl.”), and alleged that COSCO violated the Shipping Act by assessing demurrage, detention, per diem, and storage charges during periods when port congestion and other factors outside of Complainant’s control rendered Complainant unable to pick up the containers at the port or return empty containers promptly. *See* Am. Compl., ¶¶ 3, 21, 23. The Verified Complaint also alleges that Complainant paid for the Charges. *Id.* ¶¶ 3, 13. On March 20, 2024, COSCO filed its Motion for Partial Judgment on the Pleadings (the “Motion” or “Mot.”), which argued that under the direct purchaser rule, VCC lacks standing to bring a reparations claim because they did not directly pay for any of the disputed Charges. *See generally* Mot.

Although the invoices for the COSCO Charges for the containers at issue here are initially issued to NVOCCs, who are contracted to assist VCC in retrieving the relevant containers—in this case principally RIM Logistics (“RIM”)—it is well-known that NVOCCs pass those Charges on to the shipper—in this case Complainant VCC. VCC is the party responsible for paying the COSCO Charges, and is the party who paid the COSCO Charges. VCC should therefore be permitted to pursue reparations for wrongful Charges against COSCO, and COSCO’s Motion should therefore be denied.

LEGAL STANDARD

As COSCO notes in its Motion, the Commission rules do not provide a mechanism for Motions for Judgment on the Pleadings. Mot. at 2. However, COSCO submits that FMC Rule 12 should be interpreted to permit its motion because it provides that situations not covered under a specific FMC rule the Federal Rules of Civil Procedure should apply if consistent with sound administrative practice. *Id.* (quoting 46 C.F.R. § 502.12). To the extent the Commission determines that it should exercise its gap-filling authority under 46 C.F.R. § 502.12 and apply Federal Rule of Civil Procedure 12(c), the applicable standard is as follows.

A motion for judgment on the pleadings pursuant to Federal Rule of Civil Procedure 12(c) may be filed only “[a]fter the pleadings are closed.”¹ Fed. R. Civ. P. 12(c). A Rule 12(c) motion is evaluated under the same standard applicable to a Rule 12(b)(6) motion to dismiss. *See Corder v. Lewis Palmer Sch. Dist. No. 38*, 566 F.3d 1219, 1223–24 (10th Cir. 2009). But the court considers a broader factual record when evaluating a Rule 12(c) motion; it is not limited to the well-pled allegations contained in the Complaint but instead considers “the complaint, the answer, any written documents attached to them, and any matter of which the court can take judicial notice for the factual background of the case.” *L-7 Designs, Inc. v. Old Navy, LLC*, 647 F.3d 419, 422 (2d Cir. 2011); *see also Hall v. D.C.*, 867 F.3d 138, 152 (D.C. Cir. 2017) (“A Rule 12(c) motion considers the defendants’ answers together with the complaint....”); *Hous. Auth. Risk Retention Grp., Inc. v. Chicago Hous. Auth.*, 378 F.3d 596, 600 (7th Cir. 2004) (“In a motion for judgment on the pleadings, the court considers the pleadings alone, which consist of the complaint, the answer, and any written instruments attached as exhibits.”). The court accepts all of the plaintiff’s well-pleaded allegations as true, views those allegations in the light most favorable to the non-moving party, and additionally affords the non-movant all reasonable inferences from those allegations. *Sanders v. Mountain Am. Fed. Credit Union*, 689 F.3d 1138, 1141 (10th Cir. 2012).

A court should not grant a Rule 12(c) motion unless “the moving party clearly establishes that no material issue of fact remains to be resolved and the party is entitled to judgment as a matter of law.” *Ciber, Inc. v. ACE Am. Ins. Co.*, 261 F. Supp. 3d 1119, 1125 (D. Colo. 2017) (quoting *Park Univ. Enters., Inc. v. Am. Cas. Co.*, 442 F.3d 1239, 1244 (10th Cir. 2006)). A motion for a judgment on the pleadings “only has utility when all material allegations of fact are admitted or not controverted in the pleadings and only questions of law remain to be decided by the district court.” 5C Charles Alan Wright et al., *Federal Practice & Procedure* § 1367 (3d ed., Apr. 2019 update). *Tuttle v. Nationwide Affinity Ins. Co. of Am.*, No. 19-CV-00526-NYW, 2019

WL 2208513, at *2 (D. Colo. May 22, 2019).

ARGUMENT

I. VCC IS THE “DIRECT PURCHASER” OF THE CHARGES.

VCC has adequately asserted that it is the direct purchaser under the direct purchaser rule because they have alleged that it paid COSCO for the Charges. *See, e.g.*, Am. Compl. ¶ 3; 13. The direct purchaser rule provides that parties suing for violations of the Shipping Act on the basis of alleged overcharges may recover reparations if they actually paid the carrier, received an assignment from the direct purchaser, or are an agent of the direct purchaser. *See In Re: Vehicle Carrier Services*, 2019 WL 5558120 at *5; *S.A. Chiarella v. Pacon Express Inc.*, 2001 WL 1085424, at *4, 29 S.R.R. 335, 337 (FMC Aug. 15, 2001). This legal construct limits recovery of reparations to parties who suffer “actual injury.” *See In Re: Vehicle Carrier Services*, 2018 WL 2214682 at *26. The so-called direct purchaser rule is consistent with the antitrust direct purchaser rule first developed in *Illinois Brick v. Illinois*, 431 U.S. 720, 726 (1977). *In Re: Vehicle Carrier Services*, 2019 WL 5558120 at *13.

COSCO contends that the direct purchaser rule precludes VCC from bringing a reparations claim it because VCC did not pay COSCO for the disputed Charges directly. *See generally* Mot. But, as explained below, the caselaw to which COSCO cites in support of this proposition is distinguishable and does not apply to the facts alleged here.

Typically, the direct purchaser rule will come into play when a buyer-complainant is too far removed from a seller-respondent in a distribution chain files a complaint lacks a sufficiently direct connection to the respondent to be considered a direct purchaser. *See Illinois Brick*, 431 U.S. at 726–37; *In Re: Vehicle Carrier Services*, 2019 WL 5558120, at *1. Courts applying this rule (and *Illinois Brick* is not valid in many states that have repealed it) enumerate three main reasons to preclude claims by indirect purchasers: (1) risk of duplicative recovery by both direct and

indirect purchasers; (2) evidentiary complexities uncertainties regarding pass-through charges; and (3) the idea that concentrating on those with the closest relationship with the wrongdoers will result in the most effective enforcement of the law. *See Illinois Brick*, at 733-34; *In Re: Vehicle Carrier Services*, 2019 WL 5558120 at *13.

For example, in *Illinois Brick*, the State of Illinois, representing a number of customers, filed an antitrust suit against a defendant brick manufacturer/distributor for allegedly engaging in illegal price-fixing. *Illinois Brick*, 431 U.S. at 727, 735. The State of Illinois, however, was neither the first nor the second purchaser of the bricks sold by the defendant. *Id.* at 726. Rather, the bricks were first purchased by masonry contractors, who used them to build masonry structures. *Id.* Those structures were then incorporated into entire buildings by general contractors, and ultimately sold to customers like the State of Illinois. *Id.* In holding that the State of Illinois was an indirect purchaser, the Court explained that the rule is necessary to avoid the complex task of accurately apportioning damages among various parties along the distribution chain. *Id.* at 730-37. Here there is no such risk because there are only two downstream parties in the “distribution chain”: the NVOCC who was issued the charges and passed them along to the shipper, and the shipper who ultimately paid the charges.

Similarly, in *In Re: Vehicle Carrier Services*, the complainants were a (i) group of consumers and vehicle dealers, and (ii) group of shippers and ocean transportation intermediaries. Those two groups brought class actions against the respondents, who were providers of vehicle carrier services. *In Re: Vehicle Carrier Services*, 2019 WL 5558120, at *1, alleging a conspiracy to fix rates and manipulate market share for transporting vehicles aboard vessels. *Id.* The consumers and dealers alleged that they paid the inflated rates indirectly because the inflated rates affected their cost of buying or leasing a vehicle. *See id.* The Commission found that the plaintiffs in group (i) were indirect purchasers with no standing to seek reparations because they were too far

removed from the chain of distribution to be considered direct purchasers. *See id.* at **7, 13–14. The Commission explained that there was a risk of duplicative recovery if both groups were permitted to sue the respondents for reparations, *id.* at **13–14, and that determining reparations could easily involve complicated calculations that would be labor-intensive and a costly process for the parties and the Commission. *Id.* The Commission also explained that potential evidentiary complexities associated with analyzing thousands of transactional documents and dates to understand what amount or percentage of the overcharge was passed along to each group of complainants in the distribution chain weighed in favor of disallowing a claim by the customer and dealer group of plaintiffs. *Id.* Again, here there is no such risk because there are only two downstream parties in the “distribution chain”: the NVOCC who was issued the charges and passed them along to the shipper, and the shipper who ultimately paid the charges. There is no need for apportionment or complex evidentiary analysis to determine allocation of the Charges because 100% of the charges were paid by VCC and 100% of the Charges were received by COSCO.

Likewise, in *Guam v. Pacific Far East Line, Inc.*, the complainant tried “to sue for reparation on behalf of others.” *Guam v. Pacific Far East Line, Inc.*, 7 S.R.R. 167, 168 (ALJ 1966). That attempt was rejected because the Commission lacked statutory authority to hear such a claim. *Id.* Guam sued again in 1989 to sue on behalf of others as *parens patriae*. *Gov’t of Guam v. Sea-Land*, 25 S.R.R. 842 (ALJ 1990). Guam’s claim was again dismissed “[i]nsofar as the Complaint [sought] reparation ... for shipments made by other shippers.” *Id.* at 842.

But these examples are readily distinguishable from this case. Unlike *Illinois Brick* and *In Re: Vehicle Carrier Services*, Complainant does not represent multiple customers or consumers. VCC is not so far removed from the chain of distribution to be considered a direct purchaser. The Verified Complaint pertains to charges levied by COSCO and paid by VCC, NVOCCs are only

involved to the extent they were issued invoices for those charges and then passed them along, in their entirety, to VCC for payment. *See generally* Am. Compl. RIM and other NVOCCs invoiced Complainant for the disputed Charges with no mark up, and Complainants were the parties responsible for paying those Charges. *See generally* Am. Compl.; *see also Mediterranean Shipping Company – Investigation for Compliance with §§ 41103(a) and 41102 of Demurrage or Detention Charges Under the Charge Complaint Procedures of 46 U.S.C. § 41310*, Docket No. CC-001, Doc. 21 at p. 3 (FMC Sept. 29, 2023) (finding that the shipper had standing to bring claim when charges were assessed by carrier and rejecting the respondent’s direct purchaser rule argument that the NVOCC was the only proper party to bring the claim). This is unlike *Illinois Brick* or *In Re: Vehicle Carrier Services* where payment for the services/products had passed through various parties before getting to the complainants. *See In Re: Carrier Services*, 2019 WL 5558120, at *1; *Illinois Brick*, 431 U.S. at 726.

And, as explained above, the three concerns noted in *Illinois Brick* and *In Re: Vehicle Carrier Services* are inapplicable here. First, there are no risks of duplicative recovery by direct and indirect purchases. The only parties actually injured are Complainants—the parties responsible for paying the Charges. Am. Compl. ¶¶ 15–22. *See Intermodal Motor Carriers Conference, American Trucking Ass’n, Inc. v. Ocema*, Docket No. 20-14, Doc. 150 at p. 70 (FMC Feb. 23, 2024) (discussing that the party sustaining the harm is the injured party). Here, the only party harmed was Complainant. Further, no evidentiary complexities exist because the records regarding the disputed Charges are minimal, and are under the possession of Complainant. There will also be no need for a complex analysis on what amount or percentage of the Charges was passed along to Complainant because Complainant paid for all of the Charges. Most importantly, the effective enforcement of maritime law will be accomplished because recovery will be provided to the party who was actually injured—Complainant.

Although not yet effective, the recent Final Rule for Demurrage and Detention Billing Requirements that becomes effective on May 28, 2024 provides further guidance that VCC has standing to bring its claim here.¹ The Final Rule cites *Landstar Exp. Am., Inc. v. Fed. Mar. Comm'n*, 569 F.3d 493, 495 (D.C. Cir. 2009) for the proposition that traditional rules of agency apply under the Shipping Act. According to the Restatement (Third) Of Agency § 1.01 (2006): “As defined by the common law, the concept of agency posits a consensual relationship in which one person, to one degree or another or respect or another, acts as a representative of or otherwise acts on behalf of another person with power to affect the legal rights and duties of the other person. . . .” The principal has a right to control the actions of the agent, but “a principal's failure to exercise the right of control does not eliminate it.” Restatement (Third) Of Agency § 1.01 (2006). The Restatement also notes that an enforceable contract, written or oral, does not need to exist for there to be a principal-agent relationship. Restatement (Third) Of Agency § 1.01 (2006). NVOCCs simply pass through demurrage and detention charges billed to them on invoices generated by VOCCs. Final Rule, pg. 14361. By doing so, the NVOCC acts as an agent of the VOCC on the one hand, but also an agent of the shipper on the other hand when sending the pass-through charges to the NVOCC. Final Rule, pg. 14361. *See also A.P. Moller-Maersk A/S v. Ocean Express Miami*, 550 F. Supp. 2d 454, 466 (S.D.N.Y. 2008) (discussing that NVOCC acts as agent for both carrier and cargo owner/shipper).

Accordingly, the Presiding Officer should decline to grant the Motion and find that Complainant sufficiently alleges that it is the direct purchaser at this stage of the proceedings.

¹ Although COSCO’s “direct purchaser” arguments are couched in terms of “standing,” the Commission has found that the “direct purchaser rule” is related to antitrust standing, not constitutional or Article III standing (the lack of which is challenged under Fed. R. Civ. P. 12(b)(1)). *In Re: Vehicle Carrier Services*, 2019 WL 5558120 at *4, n.7.

II. ALTERNATIVELY, VCC WILL OBTAIN AN ASSIGNMENT FROM ITS NVOCC RIM AND OTHERS IF NECESSARY.

In the event the Presiding Officer determines that Complainant VCC is not a direct purchaser, it is still entitled to bring its reparations claim because it will obtain a valid assignment of its claim from NVOCC RIM (and others).

Complainant can recover if it introduces evidence that it actually paid the carrier or received an assignment from someone who did. *In Re: Vehicle Carrier Services*, 2019 WL 5558120 at *6. The Commission has consistently interpreted § 41301(a) as requiring complainants to establish that they have “paid the freight or succeeded to the claim in a valid fashion such as by assignment,” consistent with the direct purchaser rule. *In Re: Vehicle Carrier Services*, 2019 WL 5558120 at *6; *Cal. Cartage v. Pac. Mar. Ass’n*, 23 S.R.R. 420, 427 (FMC 1985); *Trane Co. v. South African Marine*, 19 F.M.C. 375, 378 n.9 (ALJ 1976); *Carton-Print v. Austasia Container Express*, 17 S.R.R. 571, 581 (ALJ 1977).; *3M v. Hapag Lloyd*, 20 S.R.R. 1020, 1021 n.3 (FMC 1981).

As the Presiding Officer acknowledged in *In Re: Vehicle Carrier Services*, the Commission has permitted complainants to obtain an assignment of the claim, even after the statute of limitations has run. 2018 WL 2214682 at *35–37; *see Rohm & Haas Co. v. Italian Line*, 21 S.R.R. 212, 215-216 (FMC 1981) (allowing a parent company to seek reparations, as long as it obtained an assignment from its foreign subsidiary); *Ocean Freight Consultants, Inc. v. The Bank Line Ltd.*, 9 F.M.C. 211, 212-213 (FMC 1966) (permitting a reparations claims by a company that “engaged in the business of auditing ocean freight charges,” whose services were performed on a percentage of collection basis, if it obtained an assignment of the claim).

For example, in *Adenariwo*, the Settlement Officer found the claim facially deficient because Mr. Adenariwo had not sufficiently demonstrated that the claim was assigned to him; however, she allowed him time to obtain the assignment. *Adenariwo v. BDP Int’l*, 2012 FMC

Lexis 42 at *12-14 (SO 2012). In her subsequent decision on the merits, the Settlement Officer accepted the assignment that Mr. Adenariwo obtained and ordered damages. *Adenariwo v. BDP Int'l*, 33 S.R.R. 503, 511 (SO 2013).

As explained herein, VCC submits that it is the proper party to seek reparations. However, if this Tribunal deems it necessary, VCC can also obtain an assignment of its reparations claim from the NVOCCs who invoiced Complainant for the Charges as a pass-through. In either event, Complainant will be entitled to recovery because it will be able to present evidence demonstrating that that it received a valid assignment of the reparations claim. Accordingly, the Presiding Officer should deny COSCO's Motion because VCC is entitled to reparations.

CONCLUSION

For the foregoing reasons, the Presiding Officer should decline to dismiss the Verified Complaint and find that Complainant VCC has sufficiently alleged a claim for reparations at this stage in the proceedings.

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Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on April 4, 2024, a true and correct copy of the foregoing **Complainant's Response in Opposition to Respondent's Motion for Partial Judgment on the Pleadings** was served by email on all counsel of record in accordance with 46 CFR Part 502.

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